

Fearnleys Tanker Market Wrap-up Apr 2026

Apr 30, 2026

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Demand doldrums

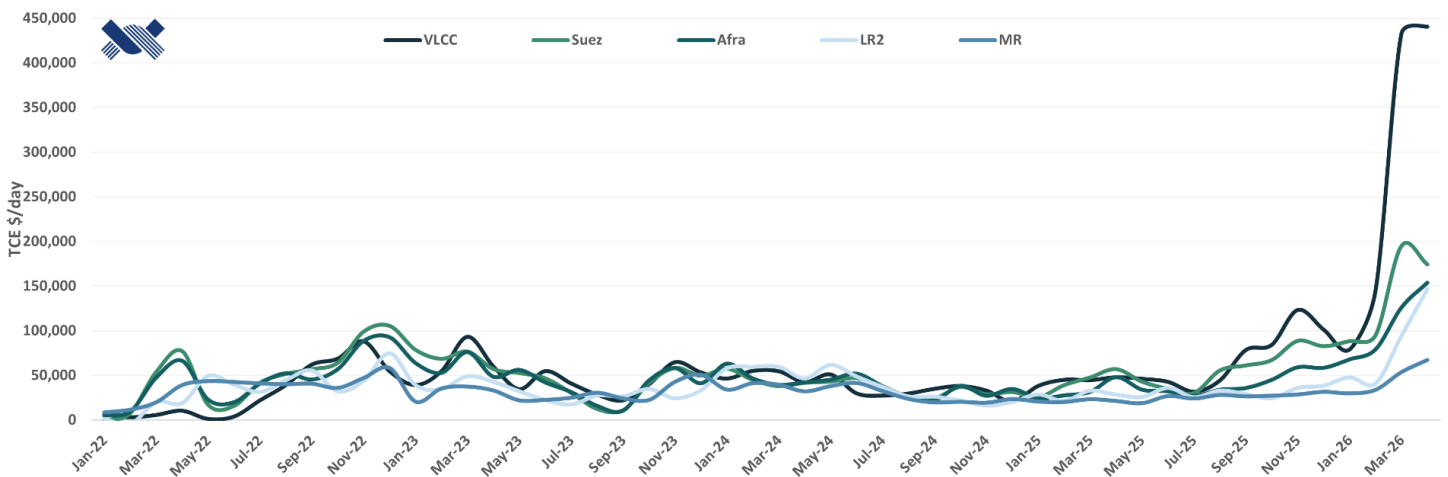
Summary

Tanker tonne-mile demand remains depressed following MEG production shut-ins, with VLCCs most badly affected while Suez/Afra have shown relative resilience and MRs received a boost. Rates remain historically elevated, but a continuous build-up of ballasters across most regions means the likely near-term rate trajectory is softer.

A reopening, when it comes, may still produce a (short-lived) rate spike due to logistical hurdles and repositioning, though the scale of that spike depends on how quickly production recovers and inventories can be drawn, and more so on whether commercial traffic through Hormuz can safely resume.

Longer term, the conflict has improved the demand outlook with risk on the upside vs. previous oil production forecasts. However, a rapidly growing and historically elevated orderbook remains a structural headwind.

Monthly rates



Source: Baltic Exchange, Fearnleys

Revisiting the reopening scenarios

Last month we outlined three reopening scenarios. A swift reopening scenario can now nearly be ruled out, with little apparent progress in talks between the two parties. Similarly, as both parties seem to dread resumption of kinetic action, an escalatory 'tanker-wars' scenario also seems less likely.

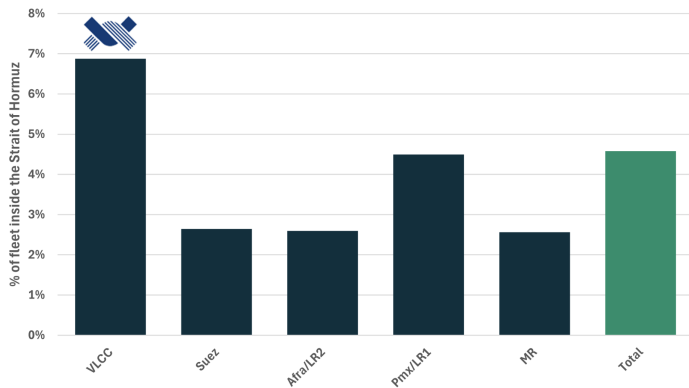
The remaining scenario appears to be the most likely, with a multi-month Hormuz disruption and tanker demand doldrums. So far, rates have held up much better than anticipated under this scenario, mainly due to high USG exports (inventory draws) and the nearly 5% of the fleet which is stuck inside the Hormuz plus another about 5% of the fleet which is idle or held back by either Sinokor or some Asian charterers, who normally do program barrels from the MEG. Still, given the ballaster availability in most areas, the likely trajectory near-term barring a reopening is softer.

Even if there is a relatively swift reopening there is in theory ample tonnage available for normalised MEG volumes. While onshore inventory draws could in theory come on top of 'normal' exports, the pace at which these can be drawn may be more limited than the pace at which it can be built. Furthermore, it may take months before full production is restored. Then there is the question of how quickly Hormuz traffic can normalise. Are there mines in the strait? If so, this could be like after the 1990-91 Gulf war when it took 2-3 months before regular commercial traffic resumed, and several more

months before all mines were cleared and insurance and confidence was back to normal.

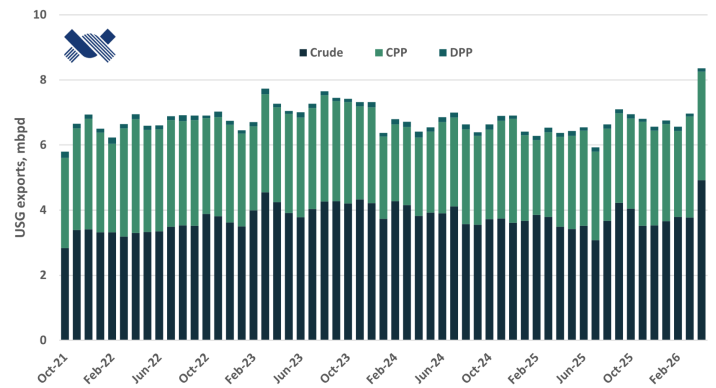
Still, given logistical hurdles, repositioning, risk premiums and likely frantic fixture activity and sentiment, a reopening may boost freight, at least for some time. Then, if it takes months for normal traffic and volumes to recover, these effects could ebb - just as fleet growth starts to bite.

Share of fleet stuck inside of the Hormuz Strait



Source: Vortexa

U.S. exports pushing all-time-highs on SPR releases



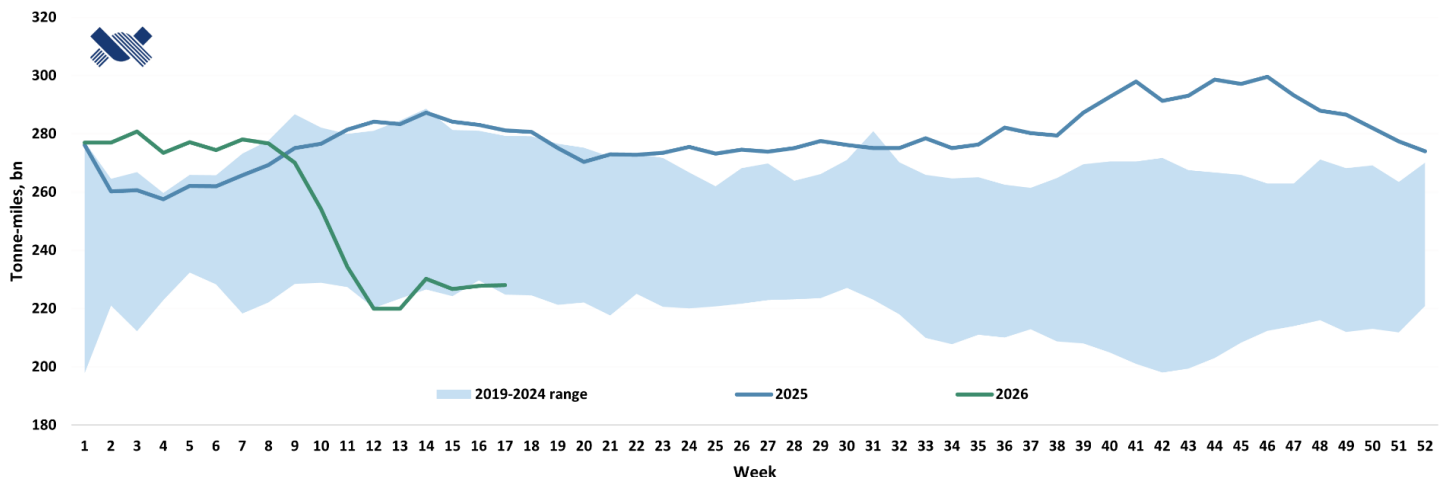
Low demand with corresponding tonnage build-up

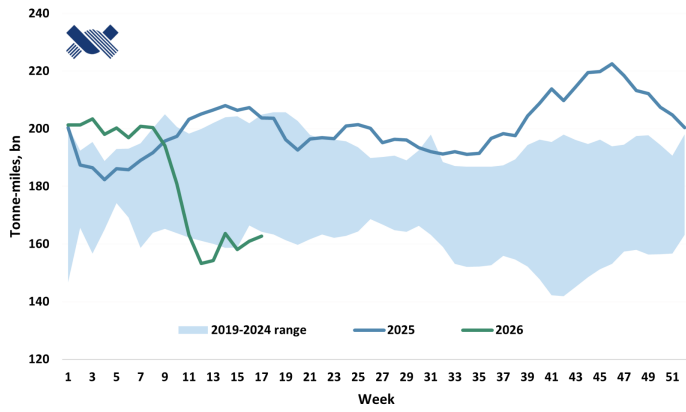
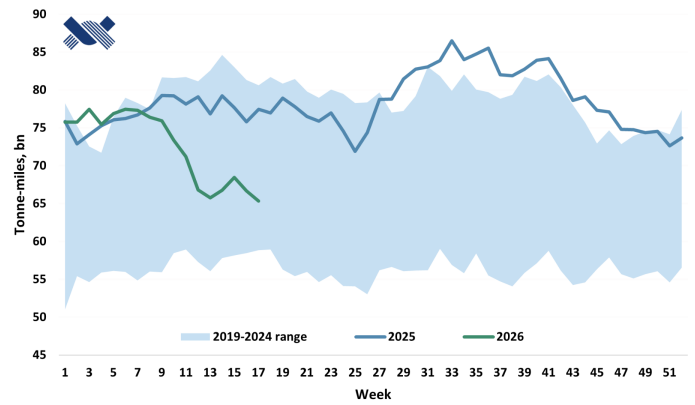
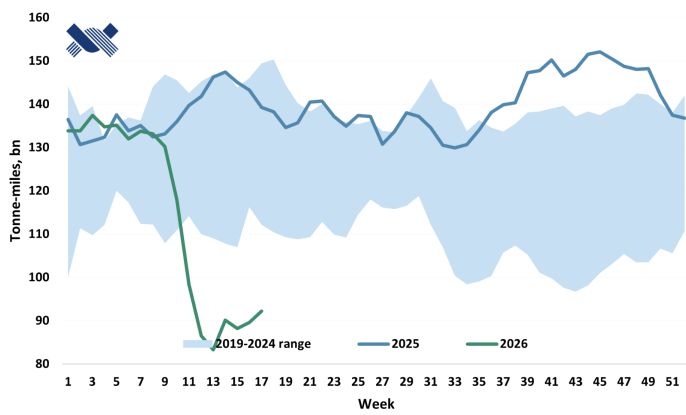
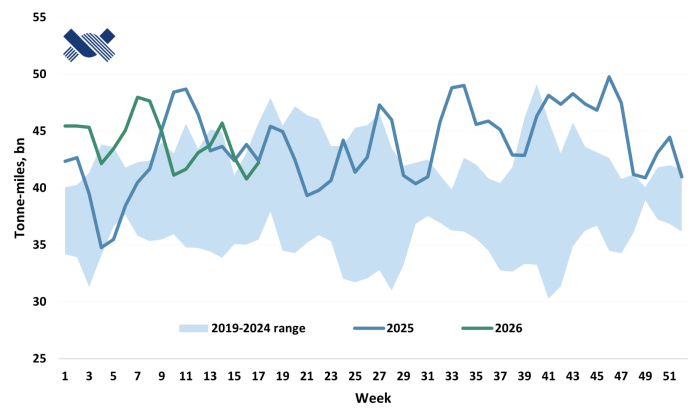
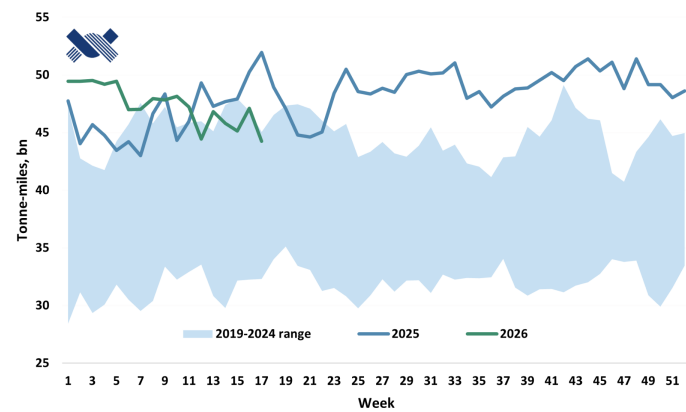
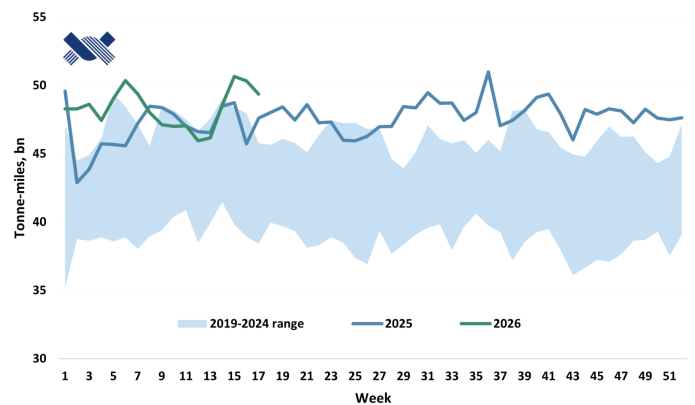
Tanker tonne-mile demand remains in the doldrums following the unprecedented MEG production shut-ins. In time, VLCC demand will be shown to pick up on increased Atlantic-East flow, although that distance effect cannot fully offset the volume loss.

Suez- and Aframax demand has held up relatively better than the bigger vessels, but here there may be slight downside near term as VLCCs have cannibalised on Atlantic flows.

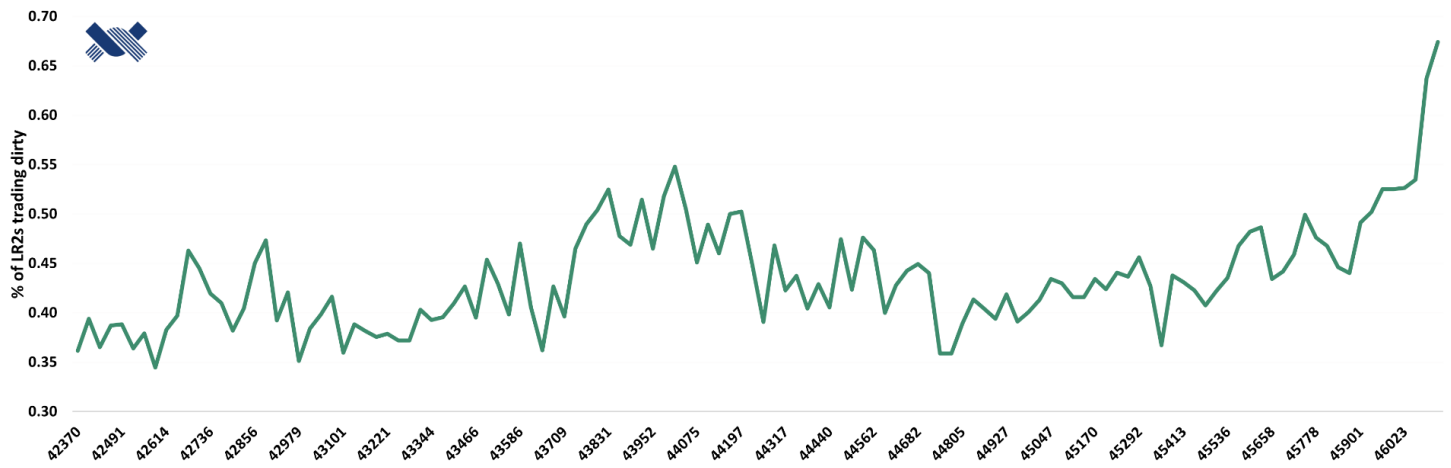
Although total product tanker demand has declined, the market balance impact has been more than offset by LR2s switching to dirty trade. The most recent data suggests that 65% of LR2s now trade dirty, up from 53% just two months ago. As a beneficiary, MR tonne-mile demand has increased to new all-time-highs.

Total tanker tonne-miles (-18% vs. early Jan)



**Crude tanker tonne-miles (-19% vs. early Jan)****Product tanker tonne-miles (-14% vs. early Jan)****VLCC tonne-miles (-31% vs. early Jan)****Suez tonne-miles (-7% vs. early Jan)****Afra/LR2 tonne-miles (-11% vs. early Jan)****MR tonne-miles (2% vs. early Jan)**

Share of LR2s trading dirty

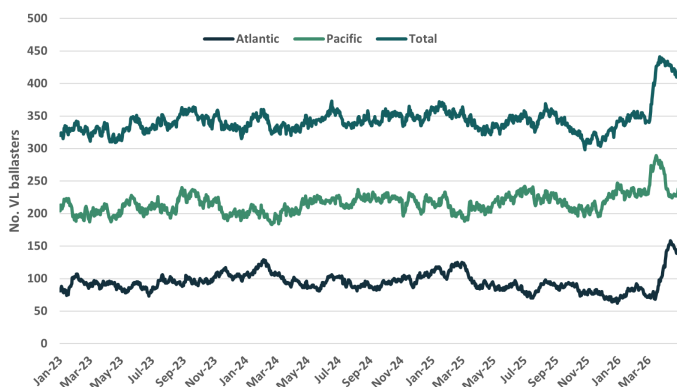


Source: Vortexa

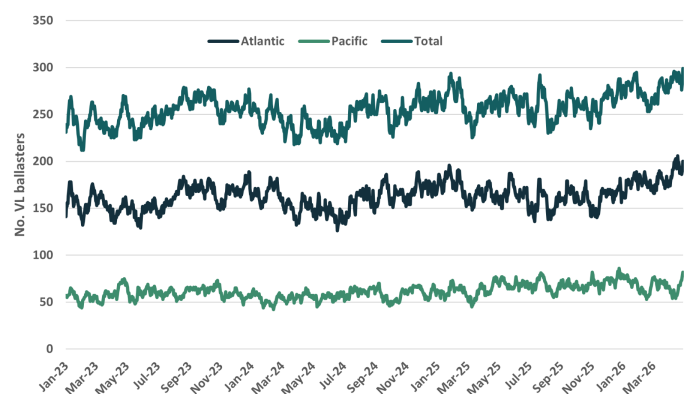
Crude ballasters still very much point toward the Atlantic, although the count has come slightly off the peaks. This corresponds with a slight build-up in the Pacific too. From this it thus looks like there are enough ships everywhere. However, note that these counts also include idle ships, of which there are quite a few (predominantly Sinokor and charterer controlled tonnage).

There has been a continuous build-up of clean ballasters recently, with the biggest pick-up overall heading toward the Atlantic basin. Notably, the LR1 ballaster count has increased sharply in both hemispheres. This should suggest better fleet availability in the areas where cargo flow has also been higher recently. While this should alleviate some of the vessel shortages in the West, the Eastern market could also be somewhat wrong-footed near-term.

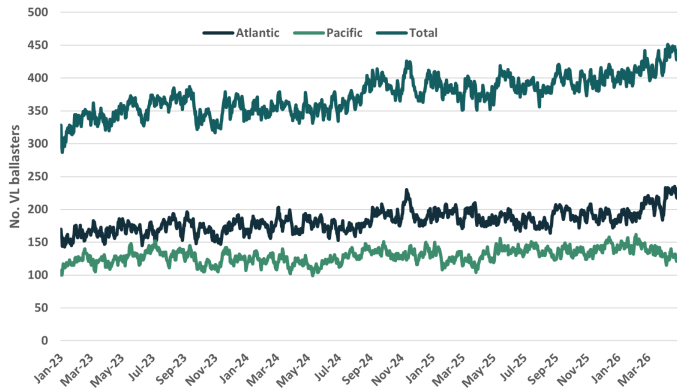
Overweight of VLCC ballasters heading to Atlantic



High Suez ballaster count in both basins

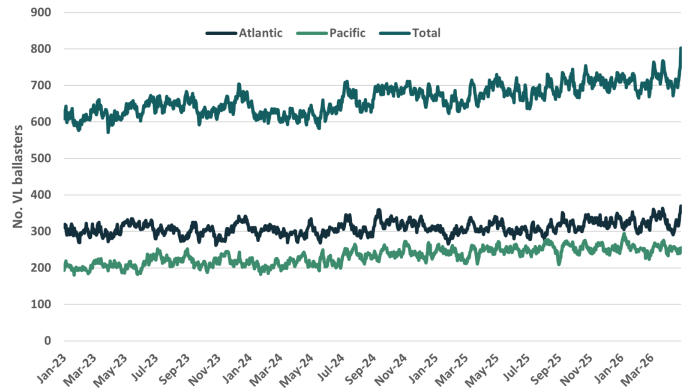


Afra/LR2 ballasters increasingly headed to Atlantic



Source: Vortexa

MR Western shortage starting to be replenished



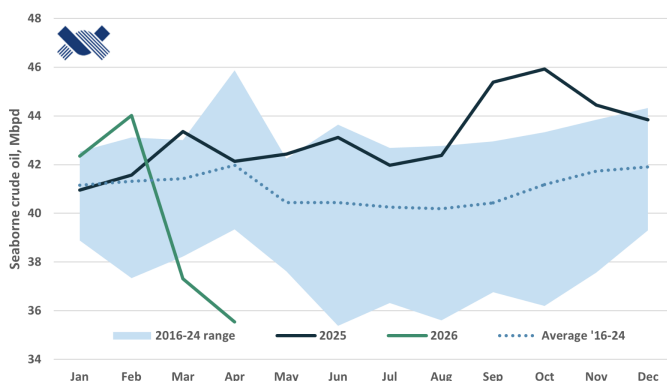
Oil... Less oil...

Due to the lasting Hormuz closure, oil production, refinery runs and by extension tanker volumes remain low. While the effects on oil prices and the global economy (or stock markets..) have so far not relatively limited, some realities start to set in. Visible oil inventories have started to draw, now also onshore (also in the West), and there is (much) more to come. The biggest change to the upside for volumes has been USG exports, driven by SPR releases, and Venezuela.

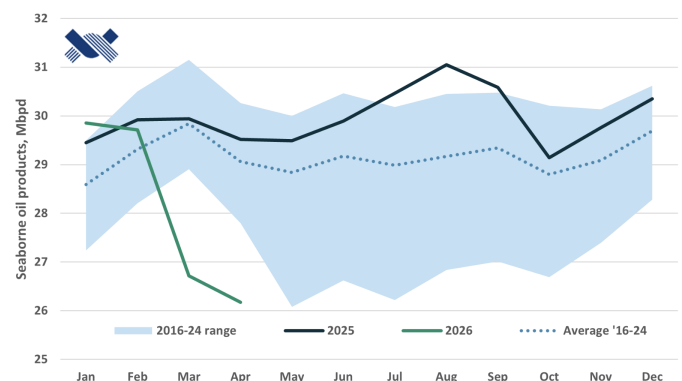
Given the scale of production shut-ins, about 1 billion barrels of global supply has effectively already been lost - a figure that may double by August unless the disruption is not fully over by then.

The biggest inventory draws so far have taken place in the East, and from oil on the water where nearly 200 mb of the 250 mb excess which built last year has now been drawn - mainly compliant and Russian barrels. There is still around 160 mb of Iranian crude oil on the water, giving the regime some leeway.

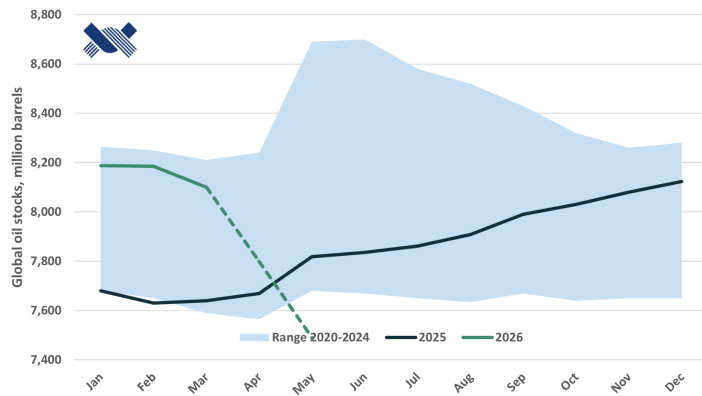
Seaborne crude oil volumes



Seaborne oil product volumes

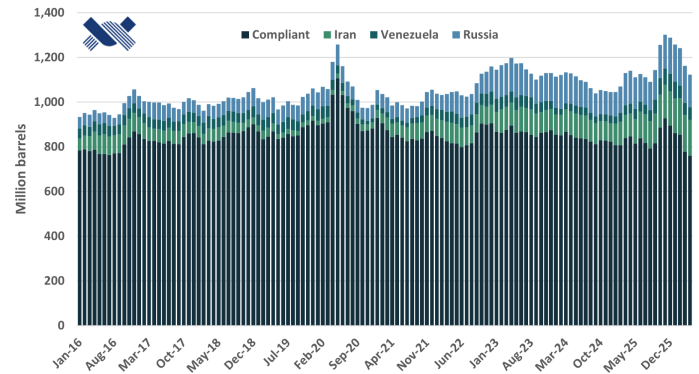


Global observed inventories (incl. potential loss)



Source: Vortexa, IEA

Crude oil on water

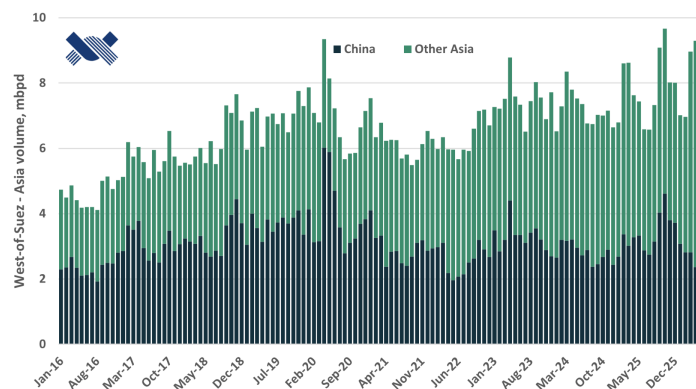


Oil pricing volatility persists. Amid a strengthening of Brent and WTI, and less acute buying interest from the East (China selling some WAfr barrels, for instance), the West-East arbitrage which ballooned a few weeks ago has narrowed substantially. This has given somewhat fewer long-haul VL fixtures, which corresponds with the build-up of ballasters to the West, and has hence given pressure on West-East rates - not that current levels around \$100k/d is low, by any means.

Similarly, this has led to some support again for Suez- and Aframaxes in the West, with some swing barrels switching back to shorter hauls. However, there is still a tonnage build-up, which means that there could be some renewed pressure on rates near-term. Like for the VLs, rates around \$100k/d is not to be sniffed at!

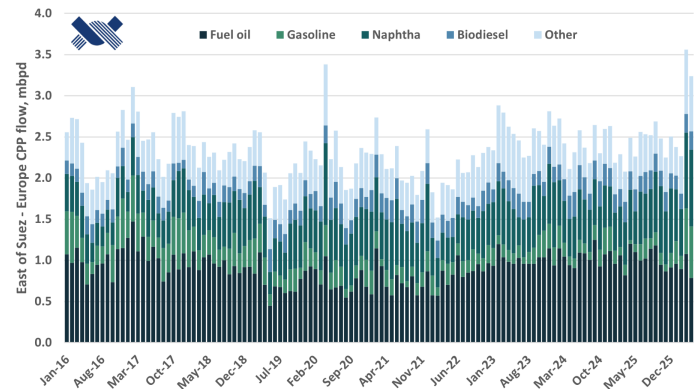
Another turn of events is a seeming let-up in the acute product shortages in the East, where the West-East demand pull does not seem to be as strong as it was, particularly for gasoline. Should Chinese product exports resume as has been reported, this demand pull could lessen further. While this could leave some pressure on the Atlantic MR market - with more vessels ballasting into the area, there could be some renewed strength in the Pacific.

West-East crude oil flow



Source: Vortexa

West-East oil product flow

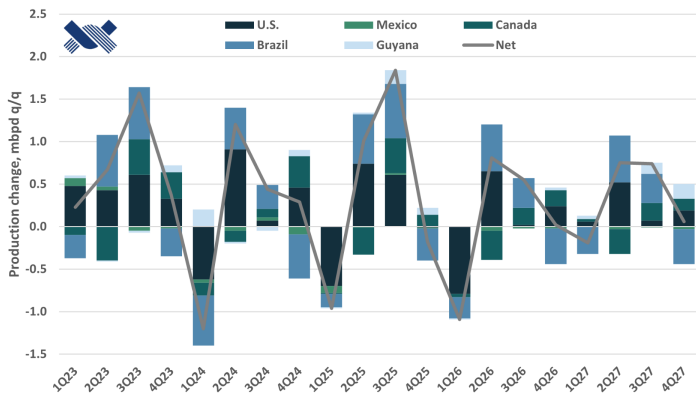


Better longer term demand outlook, but a correspondingly growing orderbook

The longer-term demand story has improved somewhat on the back of this conflict. Higher oil prices should all else equal stimulate more upstream investment, especially in short-cycle oil. The EIA has lifted its production outlook for the Americas in its most recent updates, although some of that will have to go toward replenishing the U.S. SPR (1.2 barrels for every barrel drawn). The UAE's OPEC exit, along with Venezuela may also lend upside vs. previous oil supply estimates. Although currently (partly) locked in, the UAE's upside potential may be more than 1 mbpd vs. pre-war levels. Another upside scenario is one in which the U.S. and Iran reach a nuclear (and Hormuz...) agreement which includes lifting sanctions.

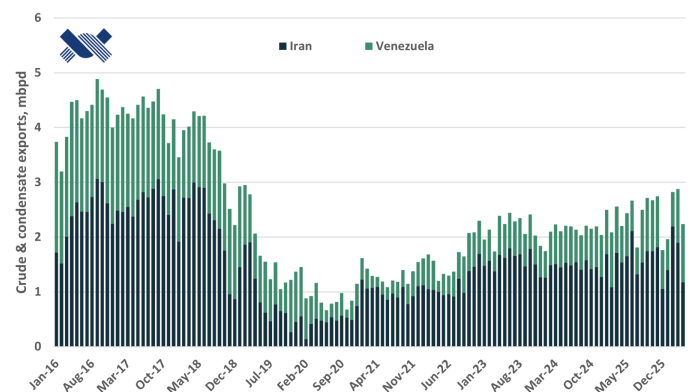
That oil production upside may be needed, as the oil demand recovery after a re-opening could be swift - barring perhaps some flight cancellations and other demand optimisation which might persist for some time. On top of that, global inventories need refilling, and in some areas capacity should be expanded. For the tanker market, oil sourcing diversification could add to sailing distances too.

Americas crude oil production growth



Source: EIA, Vortexa

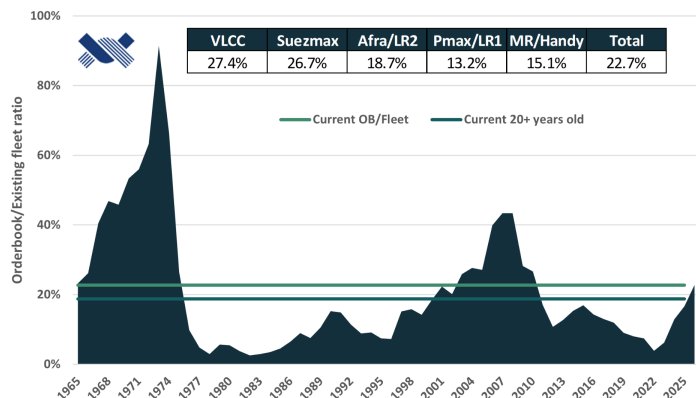
Sanctioned flows - some upside potential if sanctions are lifted



On the flipside, strong rates have resulted in the same as in every market cycle - a much larger orderbook after a rush to the yards YTD. Based on confirmed orders, the orderbook to fleet ratio is now nearly 23%. Based on reported orders too, it is more likely north of 25%. Similarly, the VLCC and Suezmax orderbooks realistically push toward 30%.

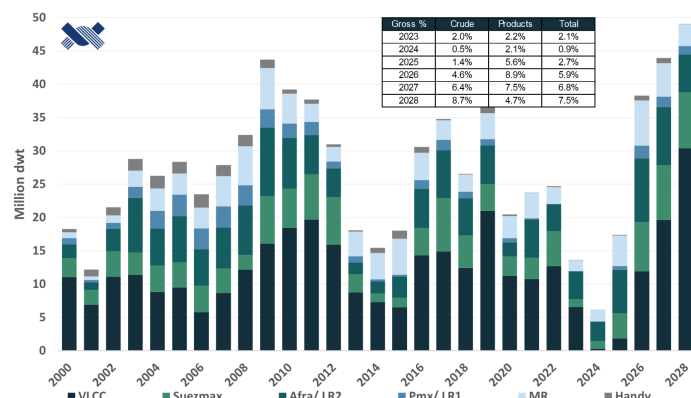
While the bulk of the bigger tanker deliveries are skewed toward 2028, fleet growth has already started to pick up YTD (1.5% in Q1). Phase-out is limited amid strong earnings, and may continue to be so as long as the older part of the fleet trades in the shadows. Should the shadow fleet need replenishing, however, that may partly reduce net fleet growth, as may a sanction lifting scenario.

Orderbook to fleet ratio



Source: Fearnleys

Annual tanker deliveries







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